

Portfolio Audit: The Duration Trap and Efficiency Collapse

A Quantitative Assessment of Asset Allocation Under Inflationary

Regimes (2018–2025)

1. The Premise: The Fragility of Textbook Heuristics

For decades, Modern Portfolio Theory (MPT) has operated on the assumption that long-term Treasuries are a reliable "safe haven," offering a consistent diversification premium through negative correlation with equities. However, the 2022 inflation shock triggered a **definitive structural break**. This project performs a quantitative audit to demonstrate that in a "Higher-for-Longer" inflationary environment, **the traditional correlation hedge has collapsed**. Consequently, static diversification is no longer a fiduciary safeguard—it is a **systemic vulnerability**.

2. Evidence I: The Correlation Break (Graph 1)

The audit begins by analyzing the structural break in asset correlations.

- **The Paradigm Shift:** From 2018 to late 2021, the 60-day rolling correlation between VOO and VGLT maintained a regime-specific mean of **-0.34**, providing the requisite diversification benefit expected under MPT.
- **The Empirical Breakdown:** As inflation and interest rate volatility became the primary market drivers, this correlation underwent a positive drift to a mean of **+0.05**. A t-test confirms this shift is statistically robust (**p-value < 2.2e-16**), proving that the correlation regime has fundamentally severed from historical norms.

- **The Insight:** When correlation converges toward positive territory during systemic shocks, bonds cease to be a "shield" and become "white noise." This shift proves that the "Diversification Premium" has inverted into a "**Diversification Tax**"—a state where investors continue to pay for protection that no longer functions.

3. Evidence II: The Efficiency Gap (Graph 2)

To quantify the cost of this regime shift, I reconstructed the Efficient Frontier for two distinct macro regimes.

- **Opportunity Set Contraction:** The audit reveals a "South-East Collapse" of the investment universe. The grey area, defined as the "**Efficiency Gap**," quantifies a staggering **38.6% Frontier Efficiency Decay**. This represents the massive loss in attainable return per unit of risk as the macro environment shifted from low to high inflation.
- **The Duration Trap:** Analyzing the migration of VGLT (Long-term Treasuries) reveals a catastrophic decay in its risk-reward profile. Its Sharpe Ratio plunged from positive territory into deep negatives (**SR: -0.7**), proving that holding long duration during inflation hikes is no longer a safety play, but a fundamental "**Value Trap**."
- **The Quantitative Verdict:** In the high-inflation regime, the frontier hasn't just drifted; it has structurally collapsed. Investors cannot simply "wait it out" with

a static mix, as the fundamental geometry of the risk-reward tradeoff has broken.

4. The Solution: Tactical Resilience via Regime Detection (Graph 3)

Recognizing that static allocation fails during structural shifts, I developed a "**Regime-Trend**" **Dynamic Tactical Strategy**. This system replaces passive exposure with a dual-filter adaptive framework:

- **The Tactical Framework:** The strategy utilizes **Macro Regime Detection** (Sticky CPI > 3%) as a primary risk switch, combined with **Market Trend Momentum** (200-day SMA) as a secondary validation filter.
- **The Protective Mechanism:** During high-inflation regimes, the strategy treats long-duration bonds as "toxic" whenever equity trends break down. In these periods, the system rotates into cash or low-duration equivalents. This prevents the "double-loss" scenario characteristic of the 2022 correlation break.
- **The Experimental Setup:** To validate efficacy, the Dynamic Strategy was backtested against three benchmarks:
 - a. **Pure Equity** (VOO)
 - b. **Pure Bond** (VGLT)
 - c. **1/3 Balanced Portfolio** (1/3 VOO + 1/3 QQQ + 1/3 VGLT): An equally weighted static mix representing the traditional "diversified" approach.

- **Visual Evidence:** As shown in Graph 3, while the **1/3 Balanced** and **Pure Bond** portfolios suffered catastrophic drawdowns, the Tactical Strategy provided a structural floor for the portfolio. By dodging the 2022–2023 collapse, the strategy transitioned from mere capital preservation to significant **Tactical Alpha**.

5. Final Synthesis: From Static Exposure to Dynamic Robustness

This audit demonstrates that Modern Portfolio Theory remains a vital conceptual framework, but its **static implementation** creates significant blind spots during regime shifts.

- **Key Takeaway:** Diversification is not a constant; it is a **dynamic function** of the macro environment.
- **The Value Prop:** By transitioning from "Passive Diversification" to "**Active Regime Management**," we neutralize the systemic risks of inflationary volatility. This project provides a scalable, rule-based framework for capital preservation in an era where traditional stock-bond correlations have failed.

Appendix I: Statistical Validation of Correlation Breakdown

To ensure the observed shift in asset behavior was not a result of market noise, a **Welch Two-Sample t-test** was performed on the rolling correlation data ($n = 60$) across two distinct macro regimes (Low vs. High Inflation).

Statistical Parameter	Value / Result
Test Type	Welch Two-Sample t-test
T-Statistic	39.591
Degrees of Freedom (<i>df</i>)	1805.9
P-Value	< 2.2e-16
Mean Correlation (Low Inflation)	-0.3396

Mean Correlation (High Inflation)	+0.0464
Absolute Regime Drift	+0.3860

Note: The *p*-value, approaching zero, indicates that we reject the null hypothesis with near-absolute certainty. The shift from a negative diversification benefit to a positive correlation regime is a statistically permanent structural break, not a transitory fluctuation.

Appendix II: Asset-Level Efficiency Decay (Sharpe Ratio Migration)

The following matrix tracks the risk-adjusted performance (Sharpe Ratio) of the three core underlying assets across the macro regime shift. This data explains the mechanics of the **"Efficiency Gap"** identified in Graph 2.

Asset Class	Ticker	Low Inflation SR	High Inflation SR	SR Delta (Impact)
Broad Equity	VOO	0.5	0.5	0.0
Growth Equity	QQQ	0.8	0.6	-0.2
Long-Term Bonds	VGLT	0.3	-0.7	-1.0

Forensic Observation: The Duration Trap

The audit confirms that while equities (VOO/QQQ) maintained relatively stable or slightly degraded efficiency, **Long-Term Treasuries (VGLT) suffered a catastrophic collapse**. The migration of VGLT's Sharpe Ratio from a positive contributor (**0.3**) to a massive systemic drag (**-0.7**) is the primary driver behind the failure of static 60/40 portfolios. In high-inflation regimes, long-duration bonds transition from a risk-mitigation tool to a primary source of capital erosion.

Appendix III: Strategic Performance Matrix (Full Audit 2018–2025)

This summary table provides the final quantitative validation of the **Regime-Trend Tactical Strategy** against the three experimental benchmarks. Data represents annualized performance over the full backtest period.

Strategy Portfolio	Annualized Return	Annualized Vol	Sharpe Ratio	Max Drawdown
Dynamic Tactical	16.55%	13.54%	1.2222	19.86%
Pure Equity (VOO)	9.70%	19.65%	0.4935	36.48%
Pure Bond (VGLT)	-4.78%	14.63%	-0.3269	53.01%
1/3 Balanced (Static)	7.07%	14.55%	0.4863	32.17%

Executive Audit Summary:

1. **Tactical Alpha:** The Dynamic Strategy outperformed the Static Balanced portfolio by **9.48% annually**, while maintaining a lower volatility profile. This confirms that "Active Regime Management" effectively recaptures the efficiency lost during inflationary shocks.
2. **Risk Mitigation:** While the Pure Bond and Static Balanced portfolios suffered catastrophic drawdowns (>30%) due to the correlation breakdown, the Tactical Strategy successfully established a structural floor, capping the **Max Drawdown at 19.86%**.
3. **Efficiency Superiority:** With a **Sharpe Ratio of 1.22**, the Dynamic Strategy is the only portfolio in the audit to deliver a risk-adjusted return greater than 1.0, signifying institutional-grade capital efficiency in a "Higher-for-Longer" regime.